expansion of public expenditure was too intoxicating a brew, but by the late 1980s, it was becoming apparent that the party would not last forever.

India also unleashed the monetary purse beginning in 1955. The government effectively directed RBI, which meekly complied, to provide it unrestrained credit. The mechanism was simple but lethal. The government would issue ad hoc treasury bills and RBI would put an equal amount into the government's account. The unproductivity of a lot of expenditure ensured that there was no commensurate growth. Inflation was the manifestation of unproductive expenditure and excessive monetary expansion. In October 1974, India recorded inflation of 34.7 per cent.

American economist and monetarist Milton Friedman pointed out the obvious connection between the excessive supply of money and inflation. He famously said, 'Inflation is always and everywhere a monetary phenomenon in the sense that it is and can be produced only by a more rapid increase in the quantity of money than in output.'

The World Doused Inflation to Restore Value of Money

In 1979, economist Paul Volcker took over as chair of the US Federal Reserve (Fed) when consumer price inflation was 13 per cent. Recognizing the reason for it, he pursued a policy of controlling credit expansion and money supply by raising the Fed's benchmark interest rates. Interest rates were raised to a record high of 20 per cent. Inflation came under control, to less than 5 per cent.

Indeed, inflation was everywhere and inflation targeting (to bring it down to tolerable levels) by restraining supply of money became the policy choice globally. New Zealand was the first country to formally adopt inflation targeting in 1990. Canada followed suit soon. Others did so over the next twenty-five years. India also adopted inflation targeting, though informally, in the late 1990s. In 2015, the country formally adopted the